

Large Non-Solvency II Firms - Conduct Standards

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1

Application and Definitions

1.1

Unless otherwise stated, this Part applies to:

1. (1) a [large non-directive insurer](#);
2. (2) a [Swiss general insurer](#); and
3. (3) in relation to any of the foregoing [firms](#), any [person](#) who is:
 1. (a) a [Conduct Rules non-executive director](#);
 2. (b) an [employee](#) of a [firm](#) who is a [key function holder](#);
 3. (c) a [certification employee](#) (other than a [key function holder](#));
 4. (d) approved under section 59 of [FSMA](#) by either:
 1. (i) the [PRA](#);
 2. (ii) the [FCA](#), in relation to a [relevant senior management function](#);
3. (e) an [employee](#) who should have been approved under section 59 of [FSMA](#) by either:
 1. (i) the [PRA](#); or
 2. (ii) the [FCA](#), in relation to a [relevant senior management function](#); or

3. (f) an [employee](#) who is performing a function that would have been a [controlled function](#) but for [Large Non-Solvency II Firms – Senior Management Functions 2.4](#).

- 10/12/2018
- [Past version of 1.1 before 10/12/2018](#)

1.2

In this Part the following definition shall apply:

[employee](#)

has the meaning given in [Large Non-Solvency II Firms - Certification 1.2](#).

- 10/12/2018

2

Scope of Conduct Standards

2.1

If you are a natural person who is:

1. (1) an [employee](#) of a [firm](#) who is a [key function holder](#); or
2. (2) approved under section 59 of [FSMA](#) by either:
 1. (a) the [PRA](#); or
 2. (b) the [FCA](#), in relation to a [relevant senior management function](#),

you must comply at all times with all of the [conduct standards](#).

- 10/12/2018
- [Past version of 2.1 before 10/12/2018](#)

2.1A

If you are a [Conduct Rules non-executive director](#), you must comply at all times with the [conduct standards](#) specified in [3.1](#) to [3.3](#), [3.7](#) and [3.8](#).

- 03/07/2017

2.1B

If you are an [employee](#) of a type specified in [1.1\(3\)\(c\)](#), (e) or (f) you must comply at all times with the [conduct standards](#) specified in [3.1](#) to [3.3](#).

- 10/12/2018

2.2

A [firm](#) must require:

1. (1) any [person](#) performing a [key function](#) to observe the [conduct standards](#) specified in [3.1](#) to [3.3](#);
 2. (2) any [key function holder](#) (other than a [notified non-executive director](#)) to observe the [conduct standards](#) specified in [3.4](#) to [3.8](#), in addition to complying with (1);
 3. (3) any [notified non-executive director](#) to observe the [conduct standards](#) specified in [3.7](#) and [3.8](#), in addition to complying with (1); and
 4. (4) an [employee](#) of a type specified in [1.1\(3\)\(c\)](#), (e) or (f) to observe the [conduct standards](#) specified in [3.1](#) to [3.3](#).
- 10/12/2018
 - [Past version of 2.2 before 10/12/2018](#)

3

Conduct Standards

3.1

Individual Conduct Standard 1: You must act with integrity.

- 07/03/2016

3.2

Individual Conduct Standard 2: You must act with due skill, care and diligence.

- 07/03/2016

3.3

Individual Conduct Standard 3: You must be open and co-operative with the [FCA](#), the [PRA](#) and other regulators.

- 07/03/2016

3.4

Senior Manager Conduct Standard 1: You must take reasonable steps to ensure that the business of the [firm](#) for which you are responsible is controlled effectively.

- 10/12/2018
- [Past version of 3.4 before 10/12/2018](#)

3.5

Senior Manager Conduct Standard 2: You must take reasonable steps to ensure that the business of the [firm](#) for which you are responsible complies with the relevant requirements and standards of the [regulatory system](#).

- 10/12/2018
- [Past version of 3.5 before 10/12/2018](#)

3.6

Senior Manager Conduct Standard 3: You must take reasonable steps to ensure that any delegation of your responsibilities is to an appropriate [person](#) and that you oversee the discharge of the delegated responsibility effectively.

- 10/12/2018
- [Past version of 3.6 before 10/12/2018](#)

3.7

Senior Manager Conduct Standard 4: You must disclose appropriately any information of which the [FCA](#) or the [PRA](#) would reasonably expect to have notice.

- 10/12/2018
- [Past version of 3.7 before 10/12/2018](#)

3.8

Senior Manager Conduct Standard 5: When exercising your responsibilities, you must pay due regard to the interests of current and potential future [policyholders](#) in ensuring the provision by the [firm](#) of an appropriate degree of protection for their insured benefits.

- 10/12/2018
- [Past version of 3.8 before 10/12/2018](#)